

CAMBRIDGE IGCSE | 0450

BUSINESS STUDIES

THE CASE STUDY PAPER

PAPER 2 METHOD PACK

WHAT IS INSIDE

- Four complete lessons with timings and full answers
- A six step method for reading and answering a case
- Two constructed cases with complete sets of figures
- A full question set with answers and award guidance
- Three model answers to one evaluative question
- Word and PowerPoint versions so you can edit everything

4
LESSONS
+ ANSWERS

FULLY
EDITABLE

READY TO TEACH | ANY COUNTRY | FULLY EDITABLE

Question tariffs in this pack are chosen for teaching. Confirm the current assessment pattern against your syllabus and recent past papers.

What this pack is

What this pack is

A complete method for Cambridge IGCSE Business Studies 0450 Paper 2, the case study paper. Four lessons with timings and full answers, two constructed case studies with complete sets of figures, a full question set with answers, three model answers to the same evaluative question, a command word decoder, and a one page student guide. It is written to be taught as it stands.

It is editable

The pack ships in three formats. The PDF is for printing. The Word file contains every lesson, both cases, every question and every answer as ordinary editable text, so you can change a name, localise a case to your own region, or cut a task. The PowerPoint contains the slides for all four lessons. Nothing in it is locked and nothing is an image.

Who it is for

Teachers of Cambridge IGCSE Business Studies 0450 anywhere in the world, teaching Year 10 or Year 11, or the equivalent grades in your school system. It assumes no particular country. Both case studies are set in unnamed economies so they work in any centre, and all figures are in dollars, which is the currency convention students meet in the exam.

Before you teach it

The problem it solves

Students treat Paper 2 as a knowledge paper that happens to have a story attached. They read the case once, then answer from memory. The marks that separate grades on this paper are for using the case, and for reaching a judgement that the case supports. That is a method, and a method can be taught in four lessons.

What is deliberately not in this pack

Exact mark tariffs for each question type, the exact number of questions on the paper, and quoted level descriptors. Cambridge updates syllabuses and assessment patterns, and a resource that prints last year's pattern as though it were permanent does more harm than one that leaves it out. The question set in this pack uses tariffs chosen for teaching, and it says so on the page. Take the real pattern from your current syllabus and recent past papers, which your centre already has.

A note on the case studies

Sunrise Foods and Marika Transport are constructed businesses. Every figure is internally consistent, so students can check any calculation with a calculator and the answers will agree. That is the reason for using constructed cases rather than a real company whose published figures would be out of date within a year and would carry a currency and a legal system that only suits some centres.

Why Paper 2 is a different paper

Same syllabus content. Different demand. This page is worth reading aloud to the class in the first lesson.

	What changes
Paper 1 rewards what you know. Paper 2 rewards what you do with the case.	The syllabus content is the same. The demand is different. On the case study paper, a correct textbook answer that never mentions the business in front of you is an incomplete answer, however accurate it is.
Every answer has a home in the case.	The case is not background reading. It is the evidence. Numbers, quotations from the owner, the number of employees, the countries it sells to, the recent change in the market. Each of those is there because at least one question needs it.
The last part of a question usually carries the most marks.	The parts that ask you to recommend, to justify, or to say what you think usually carry the heaviest weighting. Students routinely spend equal time on every part and then write two lines on the part that was worth the most.
Judgement is not opinion.	A judgement supported by a figure from the case earns marks. The same judgement with nothing behind it does not. This is a large source of lost marks on this paper, and it is fixable in one lesson.
The method is short enough to memorise.	Six steps, on page 5. Students who use it produce answers that look organised to an examiner even under time pressure, because the organisation is doing the thinking for them.

The six step method

Short enough to memorise, which is the point. Students who use it produce organised answers under time pressure because the organisation is doing the thinking.

Step	What to do
1. Read the questions first, not the case.	Two minutes. You now know what you are looking for, so the reading has a purpose. Students who read the case cold read it twice and still miss the figure they needed.
2. Mark the case as you read.	Underline every number. Circle every quotation from a person in the business. Box any sentence about a change, a plan or a problem. Those three marks are where nearly every application mark lives.
3. For each question, find the evidence before you write.	Write the line reference or the figure in the margin of the question paper. If you cannot find any evidence for a question, that is information: the question wants the theory applied, not quoted.
4. Answer the command word, not the topic.	Explain, analyse and recommend are three different tasks about the same content. The decoder on page 6 tells you what each one is asking for.
5. Build the chain, then stop.	Point, then because, then which means for this business. Two developed chains beat five undeveloped statements every time, and they take less time to write.
6. On the final part, decide and say why.	State your decision, support it with a figure or a quotation from the case, then give the condition under which you would decide differently. That last sentence is the one most students never write.

Command word decoder

The same content, asked three different ways, needs three different shapes of answer. This page is the one students should keep.

Command word or question stem	What it is asking	What earns the mark	The common error
Define	Give the meaning of the term.	One sentence. No example needed unless asked.	Writing an example instead of a definition.
State or Identify	Name it. Nothing more.	A word or a short phrase. Do not explain, you earn nothing extra and you lose time.	Writing a paragraph for a question worth very little.
Calculate	Work it out and show the working.	The formula, the substitution, the answer, and the unit or the percentage sign.	Giving a bare number with no working, so a slip loses everything.
Explain	Say how or why, and follow it through.	A reason plus its consequence for this business. One developed chain per point.	Listing several points and developing none of them.
Analyse	Take it apart and follow the consequences.	A longer chain. Point, because, which means, so for this business. Use a figure from the case.	Describing the situation instead of examining what follows from it.
Evaluate	Weigh both sides and come down somewhere.	Arguments each way, then a supported view. The view must rest on the case, not on general opinion.	Two lists and then the sentence it depends.
Discuss	Write about the issue in depth and in a structured way.	Developed points on more than one side, organised rather than listed. A view is welcome but the command does not demand one.	Treating it as a list, or writing one side only.
Recommend	Choose one option and defend the choice.	A clear choice, the reason it beats the alternative, and evidence from the case.	Explaining all the options and never choosing.
Justify your answer	Show the reasoning behind your decision.	The evidence that makes your decision the right one here. This pack also asks students to add what would change it, which is house advice rather than part of the command word, and it is the most reliable way to lift an answer.	Repeating the decision in different words instead of supporting it.
Do you think	This is asking for a decision, not a feeling.	Answer yes or no in the first sentence, then support it from the case throughout.	Sitting on the fence for a paragraph and then choosing at random.

Using the case as evidence

The same point, written four ways. Read them in order with the class and ask what changed between each version and the next.

Version	The answer	Why
Weak use of the case	Sunrise Foods should expand because expanding increases sales and market share.	This is true of every business that has ever existed. Nothing in it comes from the case, so it cannot earn an application mark.
Better	Sunrise Foods should expand because its capacity utilisation is already 88 per cent.	A figure from the case is used. It is still only one step, so it earns application but not much analysis.
Strong	Sunrise Foods is running at 88 per cent capacity, so it cannot take a large new export order without turning work away, and it has already been late on two export orders for the first time in four years.	The figure is used, the consequence is followed through, and it is tied to something else the case actually says. This is what an analysis mark looks like.
Strong with judgement	Sunrise is at 88 per cent capacity, so growth without new capacity means turning orders away. But its acid test ratio has fallen from 1.3 to 1.0, so it cannot fund a factory from working capital. The capacity problem is real and the timing is difficult, so it should expand only if it can secure long term finance first.	Two figures, a chain from each, a decision, and the condition attached to it. This is the top of the paper.

LESSON 1 **Why Paper 2 is a different paper**

Objectives	1. Explain how the case study paper differs in demand from the short answer paper. 2. Apply the six step method to a case for the first time. 3. Mark a case correctly so that the evidence is findable under time pressure.
Do Now	1. What is a stakeholder? <i>Any person or group with an interest in the activities of a business.</i> 2. Give one reason a business exports. <i>Larger market, spreading risk, higher output and lower average cost. Accept any reasonable answer.</i> 3. What does capacity utilisation measure? <i>The proportion of maximum possible output that a business is actually producing, as a percentage.</i>
Sequence	5 min. Do Now, three questions above. 10 min. The difference. The syllabus content is the same on both papers. On the case study paper a correct textbook answer that never mentions the business in front of you is incomplete. Say it once, plainly. 10 min. The six step method on page 5. Read it, then put it away. It is short enough to memorise and it is meant to be. 20 min. Students read the case on pages 9 and 10 and mark it: underline every number, circle every quotation from a person, box every sentence about a change, a plan or a problem. 10 min. Compare marking in pairs. Anything one student marked and the other did not is worth a discussion, because that is where a missed application mark comes from. 5 min. Close. Ask which single figure in the case they think will matter most, and why. Do not settle it.
You will need	The six step method, page 5. Case study, pages 9 and 10, one per student. Highlighters or coloured pens if you have them.
Teacher note	Do not hand out the questions in this lesson. Students who see the questions first will mark only what the questions ask for, and the point of the lesson is to build the habit of reading a case properly. They get the questions in Lesson 2.

Case study: Sunrise Foods

Read this with the questions on page 11 already in front of you. Mark it as you read.

Sunrise Foods is a private limited company that manufactures packaged snack foods. It was started 22 years ago by Amara Diallo, who still owns 70 per cent of the shares. Her two adult children own the rest and both work in the business. Sunrise sells in its home country and exports to three neighbouring countries, which together now account for 38 per cent of its revenue.

The business has grown quickly. It employs 240 people, up from 205 a year ago, and it runs one factory with a single production site. Amara says, "We have never turned an order away, and I do not intend to start now." The operations manager takes a different view. He says, "We are running the line six days a week and the machines are tired. Last month we were late on two export orders for the first time in four years."

A large supermarket group in a fourth country has approached Sunrise about supplying its stores. The order would be worth about \$1.8 million a year, which is roughly a fifth of current revenue. Sunrise cannot supply it from its existing factory at current output levels.

The board is considering two options. Option A is to build a second factory in the neighbouring country where Sunrise already sells most of its exports. Land and labour there are cheaper, but the business has never operated outside its home country and the exchange rate between the two currencies has moved by 9 per cent in the last year. Option B is to extend the existing factory and add a third shift. That is cheaper and quicker, but the site is already close to a residential area and the local government has recently tightened rules on night time noise.

Sunrise is also planning to launch a new product, Sunrise Crisps, next year. The finance manager has prepared figures for both the business as a whole and for the new product.

Sunrise Foods: the figures

	Year ended 2025	Year ended 2024
Revenue	\$9,600,000	\$8,000,000
Gross profit	\$3,264,000	\$2,720,000
Profit for the year	\$768,000	\$720,000
Capital employed	\$6,400,000	\$5,200,000
Current assets	\$1,800,000	\$1,500,000
of which inventory	\$600,000	\$450,000
Current liabilities	\$1,200,000	\$800,000
Employees	240	205
Capacity utilisation	88 per cent	79 per cent
Labour turnover	24 per cent	17 per cent

Sunrise Crisps, the planned new product

	Forecast
Selling price per pack	\$8.00
Variable cost per pack	\$4.40
Fixed costs per year	\$540,000
Forecast sales in year 1	190,000 packs

The total market for packaged snacks in Sunrise's home country is valued at \$60 million a year.

Sunrise Foods is a constructed business. Every figure is internally consistent, so any calculation in this pack can be checked with a calculator and the answers will agree.

Question set

Answer using the case on pages 9 and 10. Show your working on every calculation.

1.	Identify two stakeholders of Sunrise Foods other than its owners.	(2)
2.	Explain two benefits to Sunrise Foods of exporting to other countries.	(6)
3. (a)	Calculate the percentage change in revenue between 2024 and 2025.	(2)
(b)	Calculate the acid test ratio for 2025.	(2)
(c)	Using both figures, comment on what they tell Amara about the way the business has grown.	(4)
4.	Analyse the problems Sunrise Foods might face if it keeps growing at this rate without investing in new capacity.	(6)
5.	Sunrise Foods must choose between Option A, a second factory in a neighbouring country, and Option B, extending the existing factory. Recommend which option it should choose. Justify your answer.	(12)

Total 34 marks

The tariffs above are chosen for teaching so that the paper works as a lesson. They are not a claim about the pattern of any particular examination series. Check the current syllabus and recent past papers for the real pattern, and adjust the tariffs on this page to match if you want the practice to feel identical.

Answers, questions 1 to 3

Teacher copy. Award guidance, not a word for word script.

Q	Marks	Answer and how to award it
1	2	Any two of: employees, customers, suppliers, the local community, the government, the supermarket group. One mark each. Do not accept Amara or her children, because the question excludes owners.
2	6	Two developed points. Award one mark for each benefit identified, and up to two more for developing each one in the context of Sunrise. Access to a larger market, which matters here because exports are already 38 per cent of revenue and the home market is worth only \$60 million. Spreading risk across several countries, so a fall in demand in one does not hit all revenue at once. Higher output allowing lower average costs, which supports the 34 per cent gross margin. Reject a benefit stated with no link to Sunrise, for example exporting increases sales.
3a	2	$\$9,600,000$ minus $\$8,000,000 = \$1,600,000$. $\$1,600,000$ divided by $\$8,000,000 \times 100 = 20$ per cent. One mark for the method, one for the answer with the percentage sign.
3b	2	Current assets minus inventory = $\$1,800,000$ minus $\$600,000 = \$1,200,000$. Divided by current liabilities $\$1,200,000 = 1.0$, so 1.0 to 1. One mark for the method, one for the answer.
3c	4	Revenue grew 20 per cent while the acid test fell to 1.0 to 1, from 1.3 to 1 the year before. Award up to two marks for reading each figure correctly and up to two for connecting them. The connection is that the growth has been funded partly by short term credit, since current liabilities rose from $\$800,000$ to $\$1,200,000$, so the business is larger but less able to meet its short term debts. A strong answer says that growth of this kind is not free even when it looks successful on the revenue line.

Answers, questions 4 and 5

Teacher copy.

Q	Marks	Answer and how to award it
4	6	Award up to two marks for identifying a problem and up to four for following the consequences through using the case. Capacity is 88 per cent and rising from 79 per cent, so there is very little room left. The operations manager already reports two late export orders, so quality of service is slipping before capacity is formally reached. Late delivery threatens the export relationships that produce 38 per cent of revenue, and it would make the new supermarket contract impossible to serve. Machines running six days a week with no maintenance window increases the chance of breakdown, and a breakdown at 88 per cent utilisation cannot be absorbed. Labour turnover has risen from 17 to 24 per cent, which suggests the pressure is already showing in the workforce, and replacing skilled staff in a food business costs both money and consistency. Reject general statements about growth being difficult that use nothing from the case.
5	12	Award marks for knowledge of the options, application of case evidence, analysis of consequences, and a supported judgement. The strongest answers do four things. They weigh the two options against each other rather than describing both. Option A gives cheaper land and labour and puts production close to the export markets that already generate 38 per cent of revenue. Option B is cheaper and quicker but runs into the tightened night time noise rules, which is the specific constraint on adding a third shift. They use the financial evidence. The acid test at 1.0 to 1 and current liabilities up 50 per cent mean this business cannot fund a new factory from working capital, and return on capital employed has already fallen from 13.8 to 12.0 per cent, so the last round of investment has not yet paid back. They recognise the risk in Option A that the case supplies, which is that Sunrise has never operated outside its home country and the exchange rate has moved 9 per cent in a year. They reach a decision and attach a condition. A defensible answer either way. For example: Option B first, because it is quicker and the supermarket order is worth a fifth of revenue and will not wait, but only if the noise rules allow a third shift, and Option A planned for later once the liquidity position has recovered. Equally defensible: Option A, because Option B solves nothing if the noise rules block the third shift, and the export markets are where the growth already is. Do not reward an answer that recommends both, or that recommends neither, or that reaches a decision with no evidence behind it. Do not penalise a well supported answer for choosing the option you would not have chosen.

LESSON 2 **Using the case as evidence**

Objectives	1. Locate the evidence in a case that supports a specific answer. 2. Turn a figure from a case into a developed chain of reasoning. 3. Answer the lower and middle tariff questions on the question set.
Do Now	1. Name three things you underlined, circled or boxed in the case last lesson. <i>Any three. Take answers quickly and move on.</i> 2. What is the acid test ratio? <i>Current assets minus inventory, divided by current liabilities. It shows whether a business can meet its short term debts without selling inventory.</i> 3. What is the difference between describing a figure and using it? <i>Describing repeats the number. Using it says what follows from the number for this business.</i>
Sequence	5 min. Do Now. 12 min. The four versions of the same point on page 7, from weak to strong with judgement. Read them in order. Ask what changed between each version and the next. 15 min. Evidence drill, page 15. Six tasks that each ask students to find something in the case and say what it means. Answers on page 16. 20 min. Question set, page 11. Students answer questions 1 to 4 only. Question 5 is Lesson 3. 8 min. Mark questions 1 to 3 from the answers on page 12, in a different colour.
You will need	Case evidence page, page 7. Evidence drill, page 15. Question set, page 11, one per student. Answers, pages 12 and 13, teacher copy.
Teacher note	If students finish questions 1 to 4 early, they have almost certainly written too little on question 4. Send them back to it with one instruction: add one more consequence to each point, using a figure from the case.

Evidence drill

Find it in the case, then say what it means. One sentence each unless the task asks for more.

1.	Find the figure in the case that shows Sunrise cannot easily pay its short term debts, and write one sentence saying what it means for the factory decision.
2.	Find the quotation that shows the owner and the operations manager disagree, and say why that disagreement matters.
3.	Find two figures that together explain why the supermarket order is risky.
4.	Find the piece of evidence that is the strongest argument against Option B, and explain it in one sentence.
5.	Find the piece of evidence that is the strongest argument against Option A, and explain it in one sentence.
6.	Calculate the market share of Sunrise Foods in its home country, then say why the figure alone does not settle the expansion question.

Evidence drill answers

Teacher copy.

#	Answer
1	Acid test 1.0 to 1 in 2025, down from 1.3 to 1. It means a new factory cannot be funded out of working capital, so any expansion depends on outside finance.
2	Amara says the business has never turned an order away. The operations manager says the machines are tired and two export orders were late. It matters because the decision is being taken by someone whose instinct is to accept every order, in a factory that is already missing deadlines.
3	Capacity utilisation 88 per cent and the order size of \$1.8 million, which is roughly a fifth of current revenue. The business cannot produce it at current output levels.
4	The local government has tightened rules on night time noise, and Option B depends on adding a third shift, which is a night shift.
5	Sunrise has never operated outside its home country, and the exchange rate has moved 9 per cent in a year, so both the operating risk and the currency risk are new to this management team.
6	Home country sales are 62 per cent of \$9,600,000, which is \$5,952,000. Divided by the \$60 million market $\times 100 = 9.9$ per cent. It does not settle anything because the growth and the new order are in export markets, not at home.

LESSON 3 **The recommend and justify answer**

Objectives	1. Identify what separates a top band evaluative answer from a list of advantages and disadvantages. 2. Reach a decision that rests on evidence from the case. 3. State the condition under which the decision would change.
Do Now	1. What does the command word recommend ask you to do? <i>Choose one option and defend the choice, rather than explaining every option.</i> 2. What does justify your answer ask you to add? <i>The evidence that makes your decision the right one here, and what would change it.</i> 3. Why is it depends not worth a mark? <i>It is a phrase rather than a judgement. It contains no decision and no evidence.</i>
Sequence	5 min. Do Now. 12 min. Three answers to question 5, pages 18 and 19. Students read A and B and annotate what B does that A does not. Take three answers before you confirm anything. 8 min. Reveal the annotation on page 20, then show Answer C. C is roughly half the length of B and still reaches the top. Let that land. 20 min. Students write their own answer to question 5 in 20 minutes, using the case. 10 min. Peer read against the four checks on page 23. Not against opinion, and not against length. 5 min. Take two opposing recommendations from the room. Both can be right. Ask which one is better supported.
You will need	Model answers, pages 18 and 19. Annotation, page 20. Question set, page 11. Peer marking grid, page 23.
Teacher note	Some students will recommend Option A and some Option B. Both are defensible on this case, and it is important that you say so out loud. The mark is in the support, not in the choice. A class that thinks there is a secret right answer stops thinking.

Three answers to question 5

Question. Sunrise Foods must choose between Option A, a second factory in a neighbouring country, and Option B, extending the existing factory. Recommend which option it should choose. Justify your answer.

Answer A

Sunrise Foods should choose Option A because building a second factory would increase production. This means they could make more products and sell them to more customers. It would also create jobs in the other country. However, Option B is cheaper and quicker so it might be better for the business. Building a factory in another country could be risky because of the exchange rate. Option B has a problem with the noise rules. Both options have advantages and disadvantages for the business. In conclusion, I think Sunrise Foods should choose whichever option is best for the business in the long term.

Answer B

Option B is the only one that can be delivered in time for the supermarket order, and that order is the reason this decision is being taken at all. It is worth \$1.8 million, roughly a fifth of current revenue, and a supermarket group approaching a supplier will not wait for a factory to be built in another country.

The case also shows that Sunrise cannot pay for Option A out of its own resources. The acid test has fallen from 1.3 to 1.0, current liabilities have risen from \$800,000 to \$1,200,000, and return on capital employed has fallen from 13.8 to 12.0 per cent. A business whose last round of investment has not yet paid back, and which is already leaning on short term credit, is not in a position to take on a new country, a new workforce and a currency that has moved 9 per cent in a year, all at the same time.

Against that, Option B carries a risk the case names directly, which is the tightened rule on night time noise. A third shift is a night shift, and if the rule blocks it then Option B delivers nothing at all. The difference is that this risk can be checked with one question to the local government before any money is spent, while the operating risk in Option A can only be discovered after the site has been committed to.

So Sunrise should take Option B, on condition that a third shift is permitted, and it should begin planning Option A for the point at which liquidity has recovered and export volumes justify producing locally. If night working turns out to be prohibited, Option A becomes the only route to the supermarket order, and the finance would then have to be arranged as a long term loan rather than more short term credit.

Answer C, about half the length of B

Option B, on condition that a third shift is legal. The supermarket order is worth about a fifth of revenue and it will not wait for a factory in another country to be built. Sunrise also cannot fund Option A from its own resources, because the acid test has fallen to 1.0 to 1 and return on capital employed has dropped from 13.8 to 12.0 per cent, so the last investment has not paid back yet. The risk in Option B is the tightened night noise rule, but that is one question to the local government and it can be answered before any money is spent. The risk in Option A, operating in a new country with a currency that moved 9 per cent, can only be found out after committing. Check the noise rule, then extend.

How to run this in the lesson

Hand out A and B only. Ask what B does that A does not, and take three answers before you confirm anything. Reveal the annotation on page 20. Show C last, never first. A class that sees only B concludes that the route to the top band is to write more, and then runs out of time on the paper.

Both options are defensible on this case. Say that out loud. A student who thinks there is a secret correct answer stops thinking and starts guessing.

What separates the three answers

What B does that A does not

A names the options. B weighs them against each other and against the reason the decision exists, which is the supermarket order.

A says the exchange rate could be risky. B says it moved 9 per cent, ties that to a management team that has never operated abroad, and draws a consequence.

A ends by saying Sunrise should choose whichever option is best, which is not a decision. B ends with a decision, the condition attached to it, and what happens if the condition fails.

A could be written without reading the case. B could not.

What C proves

C makes every move that B makes and it does so in roughly half the words. It chooses in the first two words, it uses four figures from the case, it separates a checkable risk from an unknowable one, and it ends on the condition.

Show C after B, never before. Students who see only B conclude that the way to the top band is to write more, and then they run out of time on the paper.

LESSON 4 Timed practice on a second case

Objectives	1. Apply the six step method to an unseen case under timed conditions. 2. Write a full evaluative answer in the time the exam allows. 3. Mark a peer's answer against the four checks and give one specific improvement.
Do Now	1. State the six steps of the method from memory. <i>Read the questions first. Mark the case. Find the evidence. Answer the command word. Build the chain. Decide and give the condition.</i> 2. What three things do you mark on a case as you read? <i>Numbers, quotations from people in the business, sentences about a change, a plan or a problem.</i> 3. What is the last sentence of a strong evaluative answer? <i>The condition under which the decision would change.</i>
Sequence	5 min. Do Now, from memory, books closed. 5 min. Hand out the second case, page 22. Two minutes to read the question first, then read the case. 25 min. Timed answer to the question on page 23. Silence. Do not help. 12 min. Swap and peer mark against the four checks. Each student writes one specific improvement, not a general comment. 10 min. Read out two answers that reached opposite decisions. Compare the support, not the conclusion. 3 min. Set the redraft as homework, acting on the one improvement received.
You will need	Second case, page 22. Question and peer marking grid, page 23. Answer guidance, page 24, teacher copy.
Teacher note	This is the lesson that tells you whether the method has landed. If most answers still have no condition in the final sentence, teach that one move again as a starter for a week. It is a single sentence and it moves answers up a band more reliably than any other change.

Second case: Marika Transport

Unseen practice. Read the question on page 23 first, then read this.

Marika Transport is a road transport business owned by two partners. It operates 18 trucks and employs 22 drivers, moving building materials for construction companies. Last year revenue was \$2,400,000 and profit for the year was \$192,000. Fuel is 34 per cent of total costs and the fuel price rose twice last year. One customer, a large construction company, provides 45 per cent of revenue on a contract that ends in eight months. Labour turnover among drivers was 31 per cent last year, and one partner says, "We spend half our time training drivers who then leave for the mining companies." The current ratio is 1.2 to 1.

A second construction company has offered Marika Transport a contract worth \$600,000 a year. To take it the partners would need six more trucks, which they would buy with a bank loan repaid over five years. The trucks would be idle for part of the year because construction slows during the rainy season.

Question and peer marking

1.	Do you think Marika Transport should buy six more trucks? Justify your answer.	(12)
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25 minutes. Use the case on page 22.

Peer read against these four checks only

Check	Present?	One specific improvement
A decision made in the first sentence	Yes / No	
At least two figures or quotations used from the case	Yes / No	
Each point followed through to a consequence for this business	Yes / No	
A condition stated under which the decision would change	Yes / No	

Write one specific improvement, not a general comment. Good is not feedback. Add a figure from the case to your second point is feedback.

Marika Transport, answer guidance

Teacher copy.

Award marks for knowledge, application of the case, analysis of consequences, and a supported judgement. Both decisions are defensible. What separates answers is the evidence.

Arguments for buying, supported from the case. The new contract is worth \$600,000, which is 25 per cent of current revenue. It also reduces dependence on the existing customer, which currently provides 45 per cent of revenue on a contract that ends in eight months, so this is a real risk being reduced rather than a general benefit.

Arguments against, supported from the case. The current ratio is 1.2 to 1, so there is little cushion for loan repayments if a customer pays late. Fuel is 34 per cent of costs and the price rose twice last year, so the margin on the new work is uncertain. Profit margin is 8 per cent, which leaves little room for absorbing a fuel rise. The trucks would be idle during the rainy season, so the assets do not earn all year while the loan is repaid every month. Driver turnover of 31 per cent means six trucks also require six drivers who may not stay, and the partner's own quotation says training is already consuming their time.

A strong answer decides and attaches a condition. For example: yes, but only if the new contract is signed for longer than the loan term is exposed to, and only if drivers can be recruited and retained, because six trucks without drivers is a loan repayment with no revenue behind it. Or: no, not by buying. Subcontract the new work first, prove the customer pays on time and the route is profitable at current fuel prices, then buy.

Do not reward an answer that recommends buying because it increases revenue, with nothing from the case behind it. Do not penalise a well supported answer for reaching the decision you would not have reached.

The calculations that appear in this course

Formula, then what the figure actually tells you. The second column is the one students skip and the one the marks are in.

Measure	How to calculate it	What it tells you
Revenue	Selling price x quantity sold	Sometimes called sales revenue or turnover.
Gross profit	Revenue minus cost of sales	Cost of sales is the direct cost of the goods sold, not all costs.
Profit for the year	Gross profit minus expenses	Also called net profit in many textbooks.
Gross profit margin	Gross profit divided by revenue x 100	Tells you about the product and its pricing.
Profit margin	Profit for the year divided by revenue x 100	Tells you about the whole business, including overheads.
Return on capital employed	Profit for the year divided by capital employed x 100	Tells you how hard the money invested is working.
Current ratio	Current assets divided by current liabilities	Expressed as a figure to 1, for example 1.5 to 1.
Acid test ratio	Current assets minus inventory, divided by current liabilities	The same test with the inventory taken out, because inventory may not sell quickly.
Contribution per unit	Selling price minus variable cost per unit	What each unit contributes towards fixed costs.
Break even output	Fixed costs divided by contribution per unit	The number of units at which total costs equal total revenue.
Margin of safety	Actual or forecast sales minus break even output	How far sales can fall before a loss is made.
Market share	Business sales divided by total market sales x 100	Both figures must cover the same market and the same period.
Percentage change	Change divided by the original figure x 100	Always divide by the original, never by the new figure.
Capacity utilisation	Actual output divided by maximum possible output x 100	Above roughly 90 per cent there is little room for breakdown or a rush order.
Labour productivity	Total output divided by the number of employees	Rising output with the same staff means productivity has risen.

Calculation drill

Use the Sunrise Foods figures on page 10. Show the formula, the substitution and the answer with its unit.

1.	Calculate the contribution per pack of Sunrise Crisps.
2.	Calculate the break even output for Sunrise Crisps in packs.
3.	Calculate the margin of safety in packs, using the year 1 forecast.
4.	Express that margin of safety as a percentage of forecast sales.
5.	Calculate forecast revenue for Sunrise Crisps in year 1.
6.	Calculate forecast total costs and forecast profit for year 1.
7.	Calculate the profit margin on the new product.
8.	If the variable cost rises to \$4.80 per pack, calculate the new break even output.
9.	Calculate return on capital employed for Sunrise Foods in both years.
10.	Calculate the gross profit margin for both years and say what the comparison shows.

Calculation drill answers

Teacher copy.

#	Answer
1	\$8.00 minus \$4.40 = \$3.60 per pack.
2	\$540,000 divided by \$3.60 = 150,000 packs.
3	190,000 minus 150,000 = 40,000 packs.
4	40,000 divided by 190,000 x 100 = 21 per cent, to the nearest whole number.
5	190,000 x \$8.00 = \$1,520,000.
6	Variable costs 190,000 x \$4.40 = \$836,000. Total costs \$836,000 + \$540,000 = \$1,376,000. Profit \$1,520,000 minus \$1,376,000 = \$144,000.
7	\$144,000 divided by \$1,520,000 x 100 = 9.5 per cent, to one decimal place.
8	Contribution becomes \$8.00 minus \$4.80 = \$3.20. \$540,000 divided by \$3.20 = 168,750 packs.
9	2025: \$768,000 divided by \$6,400,000 x 100 = 12.0 per cent. 2024: \$720,000 divided by \$5,200,000 x 100 = 13.8 per cent.
10	2025: \$3,264,000 divided by \$9,600,000 x 100 = 34.0 per cent. 2024: \$2,720,000 divided by \$8,000,000 x 100 = 34.0 per cent. The margin on the product has not changed, so the fall in profit margin comes from expenses rising faster than revenue, not from pricing.

The twelve things students get wrong on this paper

Each one is a habit rather than a gap in knowledge, which is why they can be fixed in four lessons.

Topic	What students do	What to do about it
Reading the case first	Students read the case cold, then read it again once they see the questions.	Two minutes on the questions first turns one careful reading into enough.
Quoting the case	Long sentences copied straight from the case with nothing added.	Copying is not applying. The mark comes from what follows the quotation.
Generic answers	Answers that would be true of any business.	Test it: could this sentence be about a different company? If yes, it earns no application mark.
Command words	Explain, analyse and recommend treated as the same task.	Use the decoder on page 6. Three different tasks, three different shapes of answer.
Listing	Five undeveloped points instead of two developed ones.	Two chains beat five statements, and they are faster to write.
Calculations	The answer given with no working and no unit.	Formula, substitution, answer, unit. A slip then costs one mark instead of all of them.
Ratios	Current ratio and acid test confused.	Acid test takes inventory out. That is the only difference, and it is the whole point of it.
Percentage change	Divided by the new figure instead of the original.	Change divided by the original, every time.
Evaluation	Advantages, then disadvantages, then it depends.	It depends is a phrase, not a judgement. Decide, then support the decision.
Recommending	Recommending both options, or neither.	Recommend means choose one. An answer that will not choose cannot reach the top.
The condition	The answer stops at the decision.	One more sentence: what would make me decide differently. It is the most reliable move on the paper.
Timing	Equal time spent on every part of a question.	The last part usually carries the most marks. Plan the time backwards from it.

How to answer Paper 2

One page for students. Print it, read it together in Lesson 1, and put it in the front of the folder.

#	Read this
1	Read the questions before you read the case. Two minutes, and the reading then has a purpose.
2	Mark the case as you read. Underline numbers, circle what people in the business say, box anything about a change, a plan or a problem.
3	Every question has its evidence somewhere in the case. If you cannot find any, the question wants theory applied rather than quoted.
4	Answer the command word, not the topic. Explain, analyse and recommend are three different jobs.
5	Build a chain. Point, because, which means for this business. Then stop and start the next one.
6	Two developed points beat five short ones. They also take less time.
7	Use the numbers. A figure from the case in your answer is worth more than any general statement.
8	Show your working on every calculation, with the unit or the percentage sign.
9	On a recommend question, choose in your first sentence. Do not build up to it.
10	Finish with the condition. What would make you decide the other way? That single sentence is the difference between a good answer and a top one.

Before Lesson 1

#	Do this	Why
1	Print for students: the case, pages 9 and 10. The question set, page 11. The evidence drill, page 15. The second case, page 22, and its question and grid, page 23. The student page, page 29.	Those are every page a student touches. Everything else is yours, including all the answer pages.
2	Check the current assessment pattern against your syllabus and a recent past paper.	The tariffs in this pack are chosen for teaching. Two minutes makes the practice match the real thing.
3	Decide whether to localise the cases.	Both are set in unnamed economies so they work anywhere. If you would rather use local names and a local currency, the Word file is there for exactly that.
4	Read Answers B and C on pages 18 and 19 before you teach Lesson 3.	You will teach the difference better once you have noticed what each one does.

This pack is fully editable. The Word file contains both cases, every question and every answer as text you can change. The PowerPoint contains the slides for all four lessons.

New packs land in the free teacher group before they go anywhere else.

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